



Commission decides to refer Belgium to the Court of Justice of the European Union over recognition of investor-State arbitration awards that violate the principle of autonomy of EU law

Brussels, 1 October 2026

Today, the European Commission decided to refer Belgium ([INFR\(2025\)2199](#)) to the Court of Justice of the European Union for failing to comply with its obligation under EU law not to recognise investor-State arbitration awards that violate the principle of autonomy of EU law.

Following the modification of a renewable energy scheme, some investors had requested and obtained arbitration awards obliging certain Member States other than Belgium to pay compensation to them. However, [case law](#) of the Court of Justice clarifies that awards of this kind infringe EU State aid rules, among others, and therefore should not be enforced. Following this assessment by the Court, those Member States notified the arbitration awards in question to the Commission as State aid. Consequently, these awards may not be paid out until the Commission has approved them under State aid rules.

However, the Belgian administrative authorities recognised the arbitral awards, making them directly enforceable in Belgium, without waiting for the Commission to authorise the other Member States to grant the State aid. By doing so, Belgium created an imminent risk for the other Member States to be forced to pay the compensation, which would be in breach of Articles [267](#) and [344](#) of the Treaty on the Functioning of the European Union (TFEU) and the general principle of autonomy of the Court of Justice, as well as in breach of the standstill obligation of [Article 108\(3\)](#) TFEU and Commission decision [SA.40348](#) on the renewable energy scheme.

The requests for recognition of the arbitration awards constitute an attempt to circumvent EU law. The Belgian authorities should have refused recognition under the principle of sincere cooperation, as laid down in [Article 4\(3\)](#) of the Treaty on European Union, read in conjunction with Article 108(3) TFEU, decision [SA.40348](#), and the case law of the Court of Justice on investment arbitration and the obligation of administrative authorities not to apply national rules that violate directly applicable EU law.

Therefore, the Commission sent a [letter of formal notice](#) to Belgium in December 2025, and a [reasoned opinion](#) in April 2026. The Commission considers that the Belgian authorities have not addressed the infringement and is therefore referring Belgium to the Court of Justice.

Background

The arbitration awards in question find that, following the modification of a renewable energy scheme, certain Member States other than Belgium had allegedly violated the obligation of fair and equitable treatment towards investors. Therefore, they oblige those Member States to pay compensation to such investors.

[Case law](#) of the Court of Justice however clarifies that awards of this kind infringe EU State aid rules and the prohibition of intra-EU investor State arbitration and therefore should not be enforced. This means that, as also clarified by the Commission in its decision [SA.40348](#), any compensation to an investor recognized by an Arbitration Tribunal would be notifiable State aid pursuant to Article 108(3) TFEU and be subject to the standstill obligation. Arbitration Tribunals are not competent to authorise the granting of State aid, as this is an exclusive competence of the Commission.

More information

[EU infringement procedure](#)

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